PREVIEW

Food

BIMBO A MM

Price
(MXN, as of 16/02/2017)
MXN$47.80

FLOAT
33.26%

BETA (3yr, vs Mexbol)
0.93

MARKET CAP. (MXN MN)
224,830

DL VL TRADED (AV. MXN MN)
114.4

TARGET PRICE
P$44 / Var. TP -7.9%

HOLD

*TP Under Review

*TP under revision

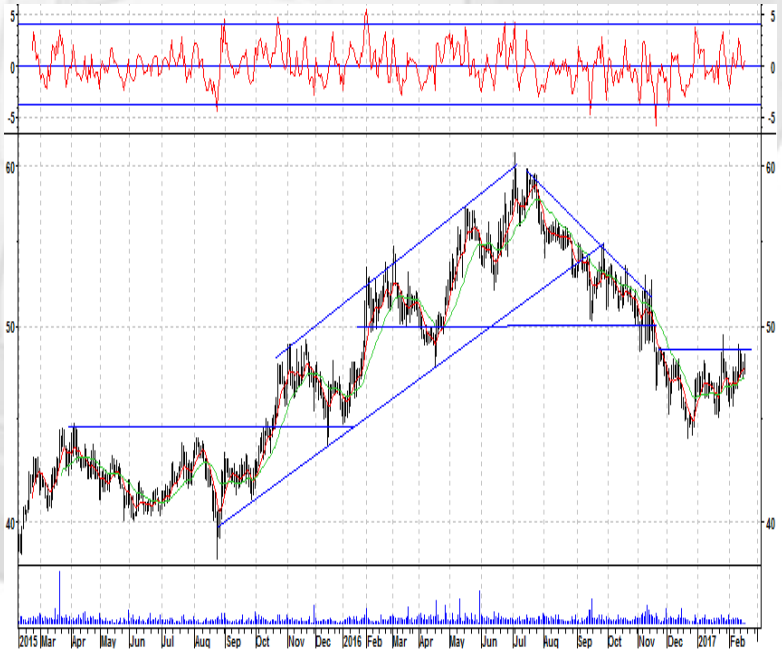
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Q416 Estimates

Substantial revenue growth due to the FX benefit – We expect BIMBO to report a sales growth of +11.2% YoY primarily as a result of the FX benefit which will boost the North American revenues by +13.5% YoY. In addition, we forecast a +6.1% YoY sales rise in Mexico, +10.8% YoY in Latin America and +4.0% YoY in Europe.

Higher gross margin – We estimate that the gross margin would be 53.5% in Q416, higher than the 53.0% of Q415 due to lower raw material costs which will help to improve the profitability levels of the North American operation. This will offset the currency impact on the Mexican unit.



Higher EBITDA margin – We believe that the EBITDA margin will expand marginally to 11.8% in Q416 thanks to operating efficiencies in manufacturing and distribution. The EBITDA will thus advance +13.7% YoY to MXN$7,831 million.

Larger net profits on a non-comparable basis – We expect a +643.6% YoY increase in net profits due to a favorable base of comparison as last year the company recorded a MXN$2 billion extraordinary charge related to the pension plans in the US.

Multiples	2013	2014	2015	2016e
P/E	42.8x	51.3x	41.8x	13.9x
P/BV	4.1x	3.8x	3.7x	2.9x
EV/EBITDA	15.7x	16.5x	19.6x	9.8x

	Q416e	Q415	Dif (%)
Sales	66,181	59,519	11.2%
Operating Income	4,997	2,812	77.7%
EBITDA	7,831	6,889	13.7%
Net Income	2,246	302	643.6%

	4T16e	4T15	Dif (bp)
Operating Mgn. (%)	7.6%	4.7%	283
EBITDA Mgn. (%)	11.8%	11.6%	26
Profit Mgn. (%)	3.4%	0.5%	289

Data in million of pesos unless expressed otherwise, sum may vary due to adjustments.
Source: Interacciones and quarteryl company reports

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BIMBO A: Historic Target Price(s) & Recommendation(s)

Date of change	12-oct-15	18-sep-14	18-jul-14
Target Price	P$44.00	P$44.00	P$220.00
Recommendation	2	1	2

** Recommendations: 1=Buy, 2=Hold, 3=Sell*